ACME MANUFACTURING LIMITED

CIN: L29200MH2012PLC123456 | 31st Annual Report FY 2023-24

INDEPENDENT AUDITOR'S REPORT

To the Members of ACME Manufacturing Limited

Opinion: We have audited the standalone financial statements of ACME Manufacturing Limited, which comprise the Balance Sheet as at 31st March 2024, the Statement of Profit and Loss, and notes to the financial statements, including a summary of significant accounting policies.

Basis for Opinion: We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013 (including SA 240, SA 315, and SA 520). Our responsibilities under those Standards are further described in the Auditor's Responsibilities section.

Key Audit Matters (KAM): Valuation of Inventories and Recoverability of Input Tax Credit (ITC) under the Central Goods and Services Tax Act, 2017. Due to stringent statutory provisions under Section 16(2)(aa) and Section 17(5), we focused our procedures on cross-portal matching between Books of Accounts and GSTR-2B inward statements.

ACME MANUFACTURING LIMITED

Notes to the Financial Statements for the Year Ended 31st March 2024

NOTE 14: GOODS AND SERVICES TAX (GST) INPUT TAX CREDIT

14.1 Unutilized Balances: Total Input Tax Credit standing to the credit of the Company in electronic credit ledger as at 31st March 2024 was INR 4,12,500 (Previous Year: INR 3,80,000).

14.2 Section 16(2)(aa) Ineligible Deferrals: In accordance with Section 16(2)(aa) of the CGST Act 2017 read with Rule 36(4), the Company has deferred ITC amounting to INR 64,800 claimed in Books of Accounts pending reflection in GSTR-2B from defaulting suppliers (Western Infra Solutions and Unfiled Subcontractor Ltd). These amounts have been retained in the Provisional Input Ledger.

14.3 Section 17(5) Blocked Credit Disallowances: The Company identified and reversed INR 29,700 of blocked credit under Section 17(5) of the CGST Act 2017 in Table 4(B)(1) of Form GSTR-3B. This comprises INR 9,000 for motor vehicle repair expenses (Apex Auto Care Corp - Section 17(5)(a)), INR 6,300 for AGM outdoor catering (Royal Hospitality Services - Section 17(5)(b)(i)), and INR 14,400 for executive club membership fees (Club Leisure Resorts - Section 17(5)(b)(ii)).

14.4 Statutory Notices & DRC-01: During the financial year, the Company received an advisory notice regarding turnover variation of INR 18,000 under Section 16 versus portal filings for Larsen & Toubro Limited. The Company is in process of obtaining credit notes.

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Notes to the Financial Statements for the Year Ended 31st March 2024

NOTE 15: CONTINGENT LIABILITIES AND CAPITAL COMMITMENTS

15.1 Contingent Liabilities: Bank guarantees furnished to State Electricity Boards against performance contracts amounting to INR 1,50,00,000 (Previous Year: INR 1,20,00,000). Disputed Income Tax demands under appeal before CIT(A) for AY 2020-21: INR 14,50,000.

15.2 Capital Commitments: Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances): INR 85,00,000 for plant machinery modernization.